



The onus is on the recipient of the gift to prove that the gift is genuine in order to claim tax exemption on it

a transaction that would otherwise be taxable), the transaction could invite litigation.

So what makes a gift genuine? This depends on the facts of each case and the underlying documentation. Recently, the Madras High Court, in the case of P.R. Ganapathy vs DCIT (2022), held the gifts as not genuine, though the assessee claimed to have received them from NRI donors. While some donors stated that the gifts were arranged for a commission, others denied giving any gifts. The purported gifts were therefore held as not to be 'gifts', and the additions in income were interpreted as unexplained credits. Similarly, in a case involving an internal group restructuring, the Authority for Advance Rulings (AAR) in the case of Mettler Toledo GmbH (2021), did not regard the gift

of shares to be genuine in the absence of any supporting documentation to that effect.

However, so long as the genuineness and rationale of making a gift is established, the courts have recognised the 'gift' as genuine. Interestingly, in a recent case, a gift received from a relative (though from the bank account of the son of the relative) was regarded as a 'constructive' gift from the relative himself, and thereby exempted from tax.

Another instance where gifts might come under the taxman's scrutiny is when they are made by businesses (as they are given in the absence of any natural love and affection, as is the case with people). Thus far, the judgements in this regard have been in favour of the taxpayer, wherein it has been held that nothing prohibits a company from

making a gift. There is no requirement under any statute (including the Transfer of Property Act, 1882) that states that a gift can only be made between individuals out of natural love and affection. As long as a donor company is permitted by its charter to make a gift, it can do so.

But a question that arises is, what happens when a business tries to mask a legitimate transaction, done for the due consideration of products or services rendered, as a gift?

The Madras High Court recently, in the case of India vs Redington (India) Ltd (2020), held that the transfer of shares without consideration is not a gift as elements of voluntariness and absence of consideration were not supported by factual findings from board resolutions and share-transfer deeds, and accordingly upheld the levy of capital gains tax. In this case, the taxpayer had transferred its shareholding in a company as a gift to its step-down subsidiary created in a tax haven, and the subsidiary had transferred the stake in favour of a third-party investor for a monetary consideration.

The High Court held that the party's intention was to escape the rigour of Indian tax laws and, therefore, the courts were entitled to lift the corporate veil to decipher the real intention behind a transaction, and decide on the veracity of the gift.

To summarise, one needs to be mindful of several aspects of making a gift to avoid falling afoul of the law. Apart from income tax, tax implications under stamp duty, transfer pricing, and foreign exchange laws, tax consequences in overseas jurisdictions, etc. ought to be closely examined. Furthermore, the questions surrounding availability of capital in the hands of the donor, period of holding, indexation benefits, accounting treatment, etc., may require greater analysis on a case by case basis. **BT**

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